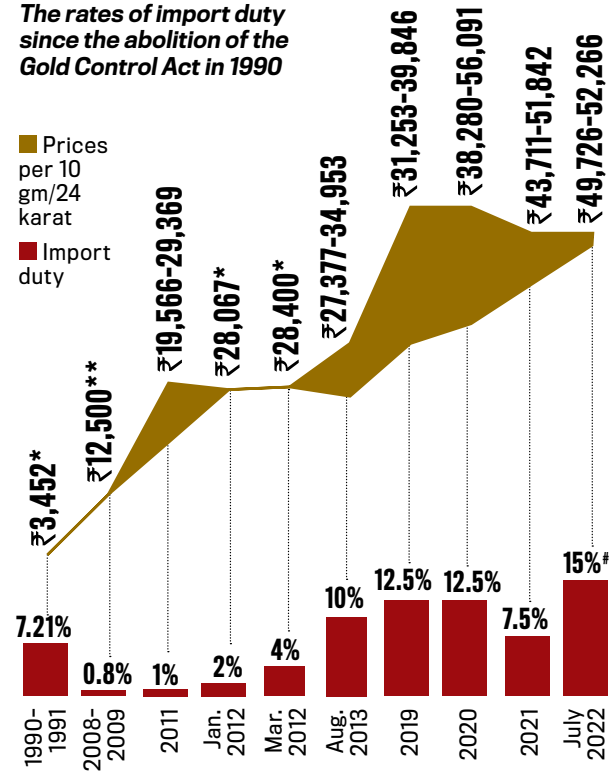
(foreign portfolio investments). India spent a record $55.7 billion (Rs 3.4 lakh crore) on gold imports in 2021 as prices dropped and consumers queued up to buy the metal, often with savings made on weddings due to Covid restrictions. India ranked as the second-largest gold-importing country in the world based on value just behind Switzerland, accounting for 14 per cent of global imports last year. The country recycled 75 tonnes of gold against China's 168, Italy's 80 and the US's 78 tonnes but the consumers had to pay GST on it.

However, the notion that 2021 could be an aberration began to be proved wrong with the import of 107 tonnes of gold this May. It is estimated that legal imports this year could surpass that in pre-Covid years, putting pressure on foreign exchange reserves, even with gold prices rising and the rupee weakening. With gold being the second highest imported item after crude, the government has been trying to control its import to reduce the Current Account Deficit (CAD) and strengthen the rupee, but the results have not been encouraging. After raising the duty and taxes in July, Sitharaman said, "The government is trying to curb the import of gold, but even if people keep buying it, let them contribute some to the revenue." Illicit gold does not reflect in India's CAD, though some economists believe gold import, licit or illicit, involves bringing back cash stashed abroad through over-invoiced exports and wrongly exaggerates the CAD. How much the government can tackle CAD with curbs on gold imports is debatable.

RISE OF IMPORT DUTY

The rates of import duty since the abolition of the Gold Control Act in 1990



**Average prices of the year/month # With GST, it is 18.4%; for jewellery or coins, additional GST is payable on making charges. ** In 1990-91 and 2008-09, the customs duties were Rs 250 and Rs 100 per 10 grams of imported gold, respectively*

The high import duty on gold in India has made NRI customers stop buying gold from the country; they also get no GST or duty refund while leaving. This makes them buy Indian-made jewellery abroad. "We have been telling the government that raising import duty on gold just cannot reduce CAD because Indians will buy gold at whatever the price," says Nitin Khandelwal, past president of the All India Gems and Jewellery Domestic Council. "The heavy duty has sharply boosted the use of gold as currency for repayment for various illicit activities. It is a net loss to the nation."

Indians' faith in gold is not merely for the safe investment option it offers but also for social and religious reasons. According to investment banking company Jefferies, of the $10.7 trillion Indian household assets in March 2022, half (49.4 per cent) were invested in real estate, followed by fixed deposits (15.1) and gold (15). Gold is in the Indian DNA, and weddings generate almost half of the demand. It is well known that a huge amount of demonetised currency was used to buy gold and some in dollars, mostly at a premium.

Smuggling is linked to the emergence of organised networks in India. Based on seizures at the Jaipur airport in the past two years, the DRI has identified at least two such gangs and arrested some of its members. "They scale up smuggling during transfer season because new officials posted often need at least six months to fully understand the working of X-rays and other detection systems when their posting is just for a year," says a senior officer posted at customs and DRI in Jaipur. He is worried about smugglers overwhelming the officials. "We have very little time to detain and examine a passenger. Gold hidden in the rectum is most difficult to detect and requires extreme personal search and X-ray which, if an innocent passenger is subjected to, may create problems for the official on the job. One needs a trained eye to differentiate between gold and other metal in an X-ray."

Khandelwal says the council is suggesting that an effective way to curb gold import and use existing gold to build the economy is to involve jewellers in collecting gold for monetisation after taking a security from them. They can then transfer the money worth the pure gold to the government in the form of gold ETF (exchange-traded fund). The gold can be returned to the customer on maturity, saving the government from having a hedge fund in case the prices of gold soar too high. India has a choice to minimise the gold duty, refund taxes for those leaving India and find better ways to use gold already here for recycling through liberal monetisation schemes. Only then, perhaps, will the country be able to end the rampant gold smuggling. ■